equity curve would not make it easy to judge whether the moving average strategy is in reality a better strategy than the breakout, for instance. In this time span you would have made more money with the latter, but seeing which one would be better from a volatility adjusted point of view is not easy. Note that the y-axis uses a logarithmic scale to make the chart more readable. With the large percentage moves over time that we see here, a linear chart would just look plain silly, to use the technical term for it, and for that reason practically all charts in this book employ the same scale.

What should be really interesting in Figure 4.3 is seeing how remarkably close the two are to each other. Even a quick visual inspection can tell us that these two strategies are more or less the same. They move up and down at the same time and even though one of them fared slightly better during a couple of tough periods, they really trade the same thing.

To put the long-term performance of the basic strategies into context, I include four comparison items, or benchmarks, if you will. The first is simply MSCI World, which is a common benchmark for world equity performance because it covers over a thousand stocks in many regions, and the second is Barclay BTOP 50, an index that seeks to replicate the overall composition of the managed-futures industry (see Figure 4.4). I also include (in Figure 4.5) the Millburn Diversified Futures Program and the Dunn World Monetary and Agricultural Program. Millburn is one of the pioneers in the business and it has been running a highly successful business since the 1970s, making it an excellent benchmark for performance. As with Millburn, Dunn is a very successful long-term performer and one of the legends of the business. These two funds are chosen to represent the industry because they

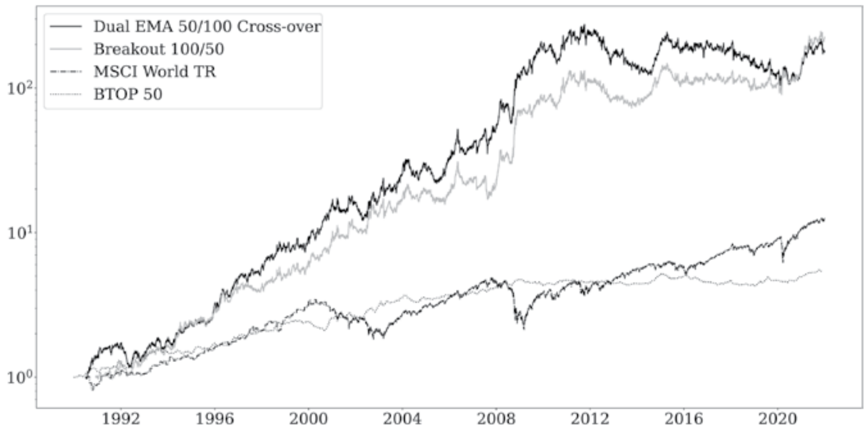

FIGURE 4.4 Base strategies compared to benchmarks.